

Axion — Governance, Board and Committees

Document 4, pages 11 and 12 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd

Scope. The ownership and governance extract in Document 4, pages 11 and 12. Each trigger is set out as **factor → risk → standard and section → application to Axion → what to do or ask**.

Know which source binds and which guides. The **Companies Act and Regulations** are law and must be complied with. **King V** is applied on an **apply and explain** basis, and Document 4 says only that Axion has adopted practices “**informed by**” King V. The **SAICA Code** binds a **registered member** in full; for a director who is not a CA(SA), apply King V first and supplement with the fundamental principles.

On King V references. King V was issued on 31 October 2025 and replaces King IV. It has **13 principles** consolidated from King IV’s 17, retains **apply and explain**, and is effective for **financial years beginning on or after 1 January 2026**. This document cites King V by **subject matter**, not by principle or practice number, because the numbering could not be verified against the Code text. **Confirm the principle numbers against the King V Code before quoting them.**

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A. Axion's status — what law actually applies

Most of the governance analysis turns on this. Axion is a private company, so several provisions that candidates reach for do not apply to it, and one that they overlook does.

Test	The rule	Axion	Consequence
Company type	A private company is one whose MOI prohibits it offering securities to the public and restricts the transferability of its shares.	Axion Digital Infrastructure (Pty) Ltd. Document 4 states "Axion remains privately held" and is "not currently listed".	Provisions limited to public and state-owned companies do not apply automatically — most importantly s94 audit committees.
Public interest score Reg 26(2)	- Calculated at each financial year end as the sum of: - the average number of employees during the year; one point for every R1 million (or part) of third-party liability at year end; one point for every R1 million (or part) of turnover during the year; and one point for every individual with a direct or indirect beneficial interest in the issued securities.	- On the FY2026 figures elsewhere in the pre-release: roughly 300 employees, R6 850m of liabilities, R2 620m of revenue, plus the shareholders. Indicative PIS: well above 9 000. The exact figure needs third-party liability rather than total liabilities.	Every PIS threshold in the Regulations is comfortably exceeded. This is the single most useful fact to establish early.
Audit Reg 28	- A private company must be audited if its public interest score is 350 or more. - Also if it holds assets in a fiduciary capacity above R5 million, or if the score is 100 to 349 and the statements were internally compiled.	- PIS far exceeds 350. KZL Inc is named as external auditor in Document 2.	The audit is compulsory, not voluntary. Auditor independence is therefore a statutory matter, not a choice.
Social and ethics committee s72 and Reg 43	- Required for every state-owned company, every listed public company, and any other company with a public interest score above 500 in any two of the previous five years. - Reg 43(4): the committee must comprise not less than three directors or prescribed officers, at least one of whom must be a director who is not involved in day-to-day management and has not been so involved within the previous three financial years.	- PIS is far above 500, and Axion has grown steadily, so the two-in-five-years test is met. - Axion has a Social, Ethics & Sustainable Committee chaired by Dr September.	This committee is a statutory requirement, not a King V choice. Test its composition against Reg 43(4) and its functions against Reg 43(5).
Audit committee s94	- A public company or state-owned company must appoint an audit committee. - Any other company must do so only if its MOI requires it. - s94(4) sets independence requirements for members of a statutory audit committee.	- Axion is a private company, so s94 does not apply of its own force. - Its Audit & Risk Committee is therefore a King V and board-driven committee unless the MOI or the shareholders' agreement requires one.	A common error is to apply s94 to Axion. Establish the MOI position first. If s94 does not apply, the s94(4) independence tests are persuasive but not binding.
King V	Issued 31 October 2025, replacing King IV. 13	Document 4 says the board has adopted practices	Treat King V as principles and

Test	The rule	Axion	Consequence
	principles , consolidated from King IV's 17. • Apply and explain: the principles are applied, and the practices adopted to give effect to them are explained. • Effective for financial years beginning on or after 1 January 2026, early adoption encouraged.	"informed by" King V — not that Axion applies King V in full. • Axion's year ends 30 June, so its first financial year beginning on or after 1 January 2026 is FY2027 (1 July 2026 to 30 June 2027).	recommended practices, not rules . A departure is not a breach; it is something to be explained. • The King V disclosure obligation reaches Axion in FY2027, which is a concrete readiness point.
SAICA Code	• Binds a registered member or associate of SAICA in full. • For a person in a governance role who is not a member, apply King V first and supplement with the fundamental principles, especially objectivity, integrity and confidentiality.	• Sarah Naidoo is described as CA(SA) — the Code applies to her in full, as a professional accountant in business (Part 2). • The other directors are not described as CA(SA). • You are a CA(SA), so the Code applies to you.	• Do not apply the Code to a director who is not a member. Apply King V, and use the fundamental principles as supporting standards of conduct.

B. The facts in Document 4, at a glance

Director	Position as stated	Independence on the face of Document 4	Committee roles
Dr Lindiwe September	Independent non-executive Chair	• Stated independent.	• Chairs Social, Ethics & Sustainable. • Chairs Remuneration & Nomination. • Chairs the board.
Kabelo Moleke	Founder & CEO	• Executive. Also an 18% shareholder.	• None stated.
Sarah Naidoo CA(SA)	CFO	• Executive. A CA(SA) — the SAICA Code applies.	• None stated.
David Low	Founder & non-executive director	• Not independent — a founder and 7% shareholder.	• None stated.
Thandi Mthanda	Independent non-executive director	• Stated independent. Former audit partner and CFO — of which firm, and how long ago?	• Chairs Audit & Risk.
Michael van de Wyk	Non-executive director	• Not independent — investment director of Ubuntu, the 35% shareholder.	• Chairs the Investment Committee.
Aisha Kahn	Non-executive director	• Not independent — partner of Horizon, the 30% shareholder.	• None stated.

- **Count it up: seven directors — two executive, five non-executive, of whom only two are described as independent**. Document 4 claims "a balance of executive, non-executive and independent directors". That claim is the trigger.
- **Ubuntu and Horizon together hold 65%** and both have board representation through the shareholders' agreement. **The founders hold a further 25%** and both sit on the board.
- Document 4 names **no lead independent director**, states **no committee membership** beyond the chairs, and gives **no board or committee size**.

C. Board composition and independence

Factor	Risk	Standard and section	Application to Axion	Action / information required
The claim of balance	- Document 4 asserts “a balance of executive, non-executive and independent directors”. - On the face of it only two of seven are independent. - Risk that the information memorandum overstates the governance position to a prospective investor.	King V — composition of the governing body: an appropriate balance of knowledge, skills, experience, diversity and independence. Companies Act s76(3)(a) — a director must act in good faith and for a proper purpose. s29(2) — financial statements or reports must not be false or misleading in a material respect.	Two independent of seven, with 65% of the shares represented on the board by two non-independent nominees. A draft information memorandum is a document on which an investor will rely.	- Test the assertion against the actual composition before it is issued. - Obtain the board charter, the independence assessment and the minutes recording it.
Independence is a conclusion, not a label	- Directors described as independent may not be independent in substance. - Risk of unchallenged decisions and of a board that cannot exercise objective judgement.	King V — independence is assessed substantively and holistically, considering whether there is an interest, position or relationship that is likely to influence judgement unduly. s94(4) independence tests are persuasive for a private company, not binding.	Van de Wyk — investment director of a 35% shareholder. Kahn — partner of a 30% shareholder. Both are shareholder nominees and neither is independent. Low — founder and 7% shareholder; long association with Axion since 2011. September and Mthanda are the only two described as independent, and Mthanda’s status must be tested — see section F.	- Ask for the board’s independence assessment for each director, and how often it is repeated. - Ask how long September and Mthanda have served; long tenure is itself an independence indicator.
No lead independent director	- Document 4 names no lead independent director. - Risk that there is no counterweight if the chair is conflicted or unavailable, and no one to lead the chair’s own evaluation.	King V — a lead independent director should be appointed where the chair is not independent, is conflicted, or where the role otherwise requires it.	- Axion’s chair is described as independent, so a lead independent director is not automatically indicated. But the chair holds three chairs simultaneously, which raises the question of who leads the board when she is conflicted — for example on her own remuneration or evaluation.	Ask whether a lead independent director has been considered and, if not, why not.
Shareholder concentration on the board	- Two of five non-executives are nominees of shareholders holding 65% between them. - Risk that the board advances shareholder interests rather than the interests of the company, and that minority shareholders — including the Employee &	s76(3)(b) — a director must act in the best interests of the company, not of the shareholder who nominated them. s66(1) — the business and affairs of the company are managed by the board. King V — stakeholder-inclusive approach; the governing body serves the organisation.	- A nominee director owes duties to Axion, not to Ubuntu or Horizon. This is the point most often missed. - The Employee & Empowerment Trust holds 10% and has no board representation named in Document 4.	- Ask whether nominee directors have been briefed that their duty runs to Axion. - Ask how the Trust’s interests are represented and who exercises its vote.

Factor	Risk	Standard and section	Application to Axion	Action / information required
	Empowerment Trust — are not protected.			
Skills against the strategy	Risk that the board lacks the skills for what Axion is about to do — a R3–5bn capital programme, new funding structures and possible African expansion.	King V — the governing body should have the knowledge, skills, experience and capacity required, and should plan its succession and composition.	Stated skills: telecommunications and infrastructure; engineering; finance and corporate finance; technology; audit and risk; investment. No director is described as having sustainability, environmental, cyber or information technology governance expertise, although Document 7 raises sustainability and an AI pilot.	Ask for the board skills matrix and the outcome of the last board evaluation.

D. Conflicts of interest — Van de Wyk and the Investment Committee

The sharpest single trigger on page 11 and 12. Michael van de Wyk chairs the Investment Committee while serving as investment director of Ubuntu Infrastructure, which holds 35% of Axion.

Factor	Risk	Standard and section	Application to Axion	Action / information required
Chairing the committee that decides on investments	- Risk that Ubuntu's investment interests influence Axion's capital allocation. - Risk of co-investment or of Ubuntu taking an opportunity that belongs to Axion. - Risk that the chair controls the agenda, the information and the recommendation to the board.	King V — the governing body should govern conflicts of interest; a member should not participate where conflicted. King V — committee composition and independence, and the delegation of authority. s75 — a director with a personal financial interest in a matter must disclose it and, in general, not take part in the consideration of the matter. s76(2)(a) — a director must not use their position or information to gain an advantage for themselves or another person, or to knowingly cause harm to the company. s76(3) — good faith, proper purpose, best interests of the company, and the degree of care, skill and diligence of a reasonably diligent person with that director's knowledge and	Do not assume s75 applies automatically. s75 turns on a personal financial interest of the director, or of a person related to the director. Van de Wyk's employer holding an interest is not by itself his personal financial interest. Establish the facts: does Van de Wyk hold any interest in Ubuntu, any carried interest, any incentive linked to Ubuntu's return on Axion, or any interest in a co-investment vehicle? If he does, s75 disclosure and recusal are engaged. If he does not, the matter is still a conflict of interest under King V and is caught by s76(2)(a) if Axion information is used for Ubuntu's benefit. s76(2)(a) is the provision that bites regardless, because Van de Wyk necessarily holds Axion information that is valuable to Ubuntu.	- Obtain the Investment Committee terms of reference — composition, quorum, approval limits, and whether it recommends or decides. - Obtain the conflicts register and the standing disclosures under s75(4) and s75(5). - Ask whether Ubuntu has co-invested or may co-invest in any project in the pipeline. - Recommend: an independent chair for the Investment Committee, or at minimum recusal and an independent quorum whenever Ubuntu has an interest.

Factor	Risk	Standard and section	Application to Axion	Action / information required
		experience.		
Both institutional nominees on the board at once	• Risk that Ubuntu and Horizon, holding 65%, align and effectively control board outcomes. • Risk that the R3–5bn funding decision is taken in the interests of the existing shareholders rather than of Axion.	• s75 and s76(3) as above, applied to each nominee. • King V — conflicts, and the stakeholder-inclusive approach.	• The funding options include investment from existing shareholders and a new strategic investor. Both directly engage the interests of Ubuntu and Horizon — for example dilution, pre-emptive rights and pricing. • On those matters both nominees are conflicted at the same time, leaving only September, Mthanda, and the executives.	• Ask whether the board can form an independent quorum on a funding decision. • Recommend an independent committee or independent adviser for the funding review, and a documented fairness assessment of any shareholder-linked transaction.
Confidential information	• Risk that Axion information reaches Ubuntu or Horizon and is used for their advantage.	• s76(2)(a) — no use of position or information for the advantage of another person. • King V — information governance and conflict management. • SAICA Code s114 Confidentiality — for any member; and the fundamental principle applies as a standard of conduct to directors generally.	• Nominee directors ordinarily report back to the shareholder that appointed them. That reporting is where s76(2)(a) is most likely to be breached.	• Ask whether there is an information-sharing protocol with the institutional shareholders, and what it permits.

E. The chair — capacity and committee roles

Dr Lindiwe September chairs the board, the Social, Ethics & Sustainable Committee and the Remuneration & Nomination Committee.

Factor	Risk	Standard and section	Application to Axion	Action / information required
Three chairs held by one person	• Risk of overload — insufficient time to discharge any of the roles properly. • Risk of concentration of influence in a single director. • Risk that the board's oversight of those committees is weakened, because the person reporting to the board is the person chairing it.	• King V — the governing body should ensure its members have the capacity to discharge their roles, and should consider other commitments. • King V — delegation to committees should not dilute the governing body's own accountability. • s76(3)(c) — the degree of care, skill and diligence reasonably expected.	• Three chairs is a substantial load for one non-executive, particularly during a R3–5bn capital programme and a strategic funding review. • When the Social and Ethics Committee or the Remuneration Committee reports to the board, the chair of the board is reporting to herself.	• Ask for Dr September's other directorships and commitments, and the time she devotes to Axion. • Ask how many other independent non-executives are available to take a committee chair. On the face of Document 4 the answer is one, which is the real constraint.
Board chair chairing Remuneration & Nomination	• Risk that the chair influences her own remuneration, her own re-election and the nomination of her colleagues. • Risk of a self-review and self-interest conflict in the nomination function.	• King V — remuneration governance, and the composition and chairing of committees. • King IV recommended practice, which the course materials use, is that the chair of the governing body should not chair the remuneration committee, although the chair may be a member. • s66(9) — remuneration of directors for their service as directors requires shareholder approval by special resolution within the previous two years.	• Flag this as the clearest recommended-practice departure on page 12, and check the exact King V practice before asserting it. • Nomination is the more sensitive half: the chair chairing nomination means she influences who joins the board she chairs, which is directly relevant when a new investor seeks board representation.	• Confirm the King V practice on who may chair remuneration. • Ask whether directors' fees have been approved by special resolution under s66(9), and when. • Recommend that an independent non-executive other than the board chair chairs Remuneration & Nomination, or that the chair recuses herself from her own matters.
Combining social and ethics with sustainability	• Risk that the statutory functions in Reg 43(5) are diluted within a broader sustainability mandate.	• Reg 43(5) sets out the statutory functions of the social and ethics committee, including monitoring the company's activities against specified instruments, and drawing matters to the board's attention. • Reg 43(5)(c) — the committee must report to the shareholders at the annual general meeting.	• Axion's committee is styled "Social, Ethics & Sustainable", which is wider than the statutory mandate. That is permissible, but the statutory functions must still be discharged and evidenced.	• Obtain the committee's terms of reference and map them against Reg 43(5). • Confirm that the committee reports to shareholders as Reg 43(5)(c) requires.

F. Audit and Risk Committee — Mthanda, KZL Inc and cooling off

Thandi Mthanda is described as an independent non-executive director and a former audit partner and CFO. She chairs the Audit & Risk Committee. KZL Inc is Axion's external auditor (Document 2).

Factor	Risk	Standard and section	Application to Axion	Action / information required
Former audit partner — of which firm?	- If Mthanda was a partner of KZL Inc, there is a familiarity and self-review threat to KZL's independence, and her own independence is doubtful. - If she was a partner elsewhere, the concern is much reduced. - Risk that a compulsory audit is performed by a firm that is not independent.	SAICA Code Part 4A — independence for audit and review engagements. Code s540 Long Association, and the sections dealing with a former partner of the firm serving as a director of an audit client, which create self-interest, self-review, familiarity and intimidation threats. King V — independence assessed substantively; a former partner of the external audit firm is an independence indicator. Auditing Profession Act — the registered auditor must be independent.	Document 4 does not name the firm or the date. These are the two facts the whole analysis turns on, and neither is given. - Because the audit is compulsory under Reg 28 and Axion is likely to meet the Code's public interest entity definition, the stricter listed-entity independence requirements are in point. The course materials work exactly this test: a public interest score above 350 means the audit must be conducted in compliance with the same independence requirements that apply to a listed entity. - On that footing a cooling-off period applies before a former partner may join the client's board, and her chairing the Audit & Risk Committee — the committee that oversees the auditor — is the most sensitive seat she could occupy.	- Ask: which firm, which role, when did she leave, and was she on the Axion engagement? - Ask whether she retains any financial interest, pension or other entitlement from the firm. - Confirm the cooling-off period in Part 4A and whether Axion meets the PIE definition. - If it was KZL Inc and the period has not run, the answer is that either she should not chair Audit & Risk, or KZL's independence is compromised.
Former CFO — of which company?	- If she was CFO of Axion, she cannot be independent and would fail the s94(4) tests if they applied. - Risk of self-review over statements she previously prepared.	s94(4)(a) — a member of a statutory audit committee must not be involved in the day-to-day management and must not have been a prescribed officer or full-time employee in the previous three financial years. King V — substantive independence.	Document 4 does not say of which company she was CFO. Read naturally it is another company, which would not offend independence. s94(4) does not bind Axion as a private company, but it is the natural benchmark and a marker will expect it to be cited as such.	Ask which company and over what period.
One committee for audit and risk	- Risk that risk oversight is crowded out by the financial reporting and audit agenda. - Risk that a committee chaired by one person covers financial reporting, external audit, internal audit, internal control and the full risk universe — including the AI pilot, cyber and the capital programme.	King V — risk and compliance governance; assurance and internal control; and the delegation of authority to committees. King V — technology and information governance, which includes artificial intelligence.	- Combining the two is common and permissible for a company of Axion's size, and King V is applied and explained rather than complied with. - But Document 7 records an AI-enabled maintenance pilot on which the Audit & Risk Committee has requested assurance, and Document 3 records organisational capacity as a stated constraint. The agenda is heavy.	- Ask for the committee's terms of reference, membership, and meeting frequency. - Ask whether Axion has an internal audit function, and if not, how the board obtains assurance. - Ask who provides assurance on the AI pilot, and against what criteria.

G. The committees — statutory against voluntary

Committee	Source of the requirement	What the standard requires	Axion	Action
Social, Ethics & Sustainable Chair: Dr September	• Statutory. s72 read with Reg 43, because the public interest score exceeds 500.	• Reg 43(4): at least three directors or prescribed officers, at least one a director not involved in day-to-day management and not so involved in the previous three financial years. • Reg 43(5): prescribed monitoring functions, and a report to shareholders at the AGM.	• Exists and is chaired by the independent chair, who satisfies the non-management requirement. • Membership is not disclosed.	• Confirm three or more members and the Reg 43(5) functions.
Audit & Risk Chair: Mthanda	• Not statutory — s94 applies to public and state-owned companies, or where the MOI requires it.	• If voluntary, the board sets the terms of reference. • King V — assurance, internal control and risk governance. • s94(4) independence tests are a useful benchmark even where not binding.	• Exists. Chaired by an independent non-executive whose independence must be confirmed — section F.	• Check the MOI and the shareholders' agreement before concluding that s94 does not apply.
Remuneration & Nomination Chair: Dr September	• Not statutory for a private company.	• King V — fair, responsible and transparent remuneration. • s66(9) — directors' fees require a special resolution within the previous two years.	• Chaired by the board chair, which is the recommended-practice departure flagged in section E.	• Confirm the King V practice and the s66(9) approval.
Investment Chair: Van de Wyk	• Not statutory. A board committee.	• King V — delegation of authority; conflicts of interest. • s75, s76(2)(a), s76(3).	• Chaired by the nominee of the 35% shareholder — section D.	• Terms of reference, approval limits, conflict and recusal protocol.
Not mentioned	• No internal audit function is referred to anywhere in Document 4.	• King V — assurance; the governing body should have an effective combined assurance model and should consider the need for an internal audit function.	• For a business of Axion's scale, with a R3–5bn programme and a stated capacity constraint, the absence is notable.	• Ask whether internal audit exists, is outsourced, or is planned. This is part of the MATURE theme in Document 3.

H. Shareholders' agreement, nomination rights and a new investor

Factor	Risk	Standard and section	Application to Axion	Action / information required
Nomination rights	- Risk that the shareholders' agreement conflicts with the MOI or the Act, in which case it is void to the extent of the inconsistency. - Risk that nominee directors act as delegates of their appointer.	s15(7) — a shareholders' agreement must be consistent with the Act and the MOI; any inconsistent provision is void. s66(4)(a)(i) — the MOI may provide for the direct appointment of directors by a named person. s66(7) — a person becomes a director only on delivering written consent to serve. s76(3)(b) — best interests of the company.	- Document 4 says the institutional investors have rights to nominate a director "in terms of the shareholders' agreement" — not in terms of the MOI. That is the issue. If the right is only contractual and is not reflected in the MOI, its enforceability against the company needs checking under s15(7) and s66(4).	- Obtain the MOI and the shareholders' agreement. - Check whether the nomination right appears in the MOI, and whether the agreement is consistent with it. - Check the reserved matters and any veto rights, and whether they fetter the board contrary to s66(1).
A new strategic investor	- Risk of dilution of the founders and the Employee & Empowerment Trust. - Risk that a further nominee worsens the independence balance. - Risk that existing shareholders and the new investor have conflicting interests on price.	s39 — pre-emptive rights on the issue of shares by a private company, unless the MOI provides otherwise. s38 — authorisation of shares; s41 — shareholder approval for issues to directors, prescribed officers and related persons, or issues of 30% or more of the voting power. King V — composition, and stakeholder-inclusive decision making.	- Document 3 lists a new strategic investor as one of three funding options, so this is live. s41(3) is directly in point if the issue represents 30% or more of the voting power before the issue — a R3–5bn raise plausibly could. - If existing shareholders take up the issue, s41(1) may require a special resolution because Ubuntu and Horizon are related to directors on the board.	- Model the post-issue shareholding and board composition. - Check s39 pre-emptive rights and whether they are excluded in the MOI. - Check whether s41 shareholder approval is triggered. - Ask how the Trust's 10% is protected against dilution.
The Employee & Empowerment Trust	- Risk that the Trust's governance is not addressed — who the trustees are, how they vote, and whether executives are trustees. - Risk of a conflict if a director is also a trustee.	King V — stakeholder-inclusive approach; conflicts of interest. s75 if a director is a trustee and has a personal financial interest. B-BBEE verification implications, if relevant to the required.	- The Trust holds 10% and appears nowhere in the board table or the committee list. - Document 4 is silent on who exercises the Trust's vote.	Ask for the trust deed, the trustees, and the voting arrangements.

I. Delegation, and from founder-led to institutionally backed

Factor	Risk	Standard and section	Application to Axion	Action / information required
Delegation to the CEO	- Risk that delegation is not documented, so the boundary between board and management is unclear. - Risk of over-concentration in the founder CEO, who is also an 18% shareholder.	s66(1) — the board manages the business and affairs and has the authority to exercise all the powers of the company. King V — delegation to management, the role of the CEO, and the delegation of authority framework. King V — the CEO should not be a member of the remuneration committee and should not be involved in decisions on their own remuneration.	- Document 4 states the board “retains oversight of strategy, material capital investments, risks and executive appointments” while day-to-day operations are delegated to the CEO and the executive team. - That is the right division in principle, but “material” is not defined and no delegation of authority framework is mentioned. - Moleke is founder, CEO and an 18% shareholder — a concentration that Document 4’s own “founder-led to institutionally backed” heading acknowledges.	- Ask for the delegation of authority framework and the approval limits, particularly for capital expenditure. - Ask how “material capital investments” is defined and who signs off below that threshold.
Maturing the governance as Axion scales	- Risk that governance does not keep pace with a R3–5bn capital programme. - Risk to ethical culture as the entrepreneurial founder culture is formalised.	King V — ethical culture as a governance outcome; the governing body governs ethics and sets the tone. King V — the governing body should ensure the organisation has the capacity and capability to execute its strategy. Reg 43(5) — the social and ethics committee monitors ethics and corporate citizenship.	- Document 4 states the board is committed to “an ethical culture, effective control and transparent reporting”, and that Axion is “progressively formalising its systems, governance and decision-making”. - Document 3 lists organisational capacity as one of six stated constraints, and MATURE as one of four strategic priorities. This is the theme that ties the whole document together, and it is where a “what should we formalise next” required would land.	Be ready to recommend, in order: delegation of authority framework, conflicts and related-party policy and register, committee terms of reference, risk register and combined assurance model, internal audit, code of ethics and whistleblowing, and board evaluation.

J. The SAICA Code — Sarah Naidoo CA(SA), and you

The course materials are explicit: apply King V to a director, and the SAICA Code to a CA(SA). Only a registered member or associate is bound by the Code in full.

Who	Which source applies	What it requires	Application to Axion
Sarah Naidoo CA(SA) CFO	- The SAICA Code in full, as a professional accountant in business — Part 1 and Part 2. King V, as a director.	Fundamental principles (s110): integrity; objectivity; professional competence and due care; confidentiality; professional behaviour. Conceptual framework (s120): identify, evaluate and address threats. Threats (s120.6 A3): self-interest, self-review, advocacy, familiarity, intimidation.	- She is the executive preparing the draft information memorandum in Document 4 and the business performance pack in Documents 5 and 7. - If the memorandum overstates the board’s independence, she faces a threat to integrity and professional behaviour, and potentially s29(2) of

Who	Which source applies	What it requires	Application to Axion
		• s260 — responding to non-compliance with laws and regulations, for an accountant in business.	the Companies Act. • Self-interest arises if her remuneration is linked to the funding outcome. Intimidation arises if institutional shareholders press for a particular presentation.
You newly qualified CA(SA)	• The SAICA Code in full, Part 1 and Part 2.	• The same fundamental principles and threats. • s260 NOCLAR if you become aware of non-compliance. • s270 Pressure to breach the fundamental principles.	• You report to the CFO. If asked to prepare or support a statement you believe to be misleading, the s260 and s270 route applies: understand the matter, raise it with the appropriate level, escalate to the board, and document throughout.
The other directors	• King V, and the Companies Act. • Not the SAICA Code, unless shown to be a member.	• The fundamental principles may still be used as standards of conduct — particularly objectivity, integrity and confidentiality.	• Document 4 describes only Naidoo as CA(SA). Do not apply the Code to Van de Wyk, Kahn, September, Mthanda, Moleke or Low. • Apply King V and s75, s76 to them, and use the fundamental principles to support the argument.
KZL Inc external auditor	• The SAICA Code Part 4A and the Auditing Profession Act.	• Independence for audit engagements. • s540 Long association; provisions on a former partner joining an audit client. • If Axion is a public interest entity, the stricter listed-entity requirements apply.	• Engaged by the Mthanda question in section F. Also engaged if KZL provides any non-assurance services to Axion. • Ask what other services KZL provides, and for how long it has held the appointment.

K. How to answer a governance or ethics required

The structure below is the one set out in the IAC 2026 GAA Tutorial solutions.

	Step	What to write
1	Identify the person and the source that binds them	• A director → King V . A CA(SA) → the SAICA Code . Everyone → the Companies Act .
2	State the issue, from the scenario	• Use the facts given. Name the director, the committee and the shareholding.
3	Give the generic guidance from the standard	• What King V or the Code says should happen. For the Code, name the threats and the fundamental principles compromised.
4	Explain why it is an issue for this person	• Apply the guidance to the facts. This is where the marks are.
5	Link any breach of the Act back to the Code and to King V	• A contravention of the Companies Act by a CA(SA) is a breach of professional behaviour , of integrity if they knew, and of professional competence and due care if they ought to have known.
6	Conclude and recommend	• Say what should be done: disclose, recuse, restructure the committee, obtain the document, amend the terms of reference. An analysis without a recommendation is incomplete.

Five errors to avoid on this trigger.

- **Applying s94 to Axion.** It is a private company; s94 binds public and state-owned companies, or where the MOI requires it.
- **Assuming s75 applies to Van de Wyk automatically.** s75 needs a **personal** financial interest. Establish it. **s76(2)(a)** applies regardless.
- **Treating King V as law.** It is apply and explain, and Document 4 says only that Axion is “informed by” it.
- **Applying the SAICA Code to directors who are not CA(SA).** Only Naidoo is described as one.
- **Missing that the social and ethics committee is compulsory.** The public interest score puts Axion well above the Reg 43 threshold.

L. Information required on the day

Document or fact	Why it is needed
MOI	• Whether it requires an audit committee (s94), how directors are appointed (s66(4)), and whether pre-emptive rights are excluded (s39).
Shareholders' agreement	• The nomination rights , reserved matters and veto rights, and consistency with the MOI and the Act under s15(7) .
Which firm Mthanda was a partner of, and when she left	• The whole of section F turns on it. If it was KZL Inc and the cooling-off period has not run, both her independence and KZL's are in question.
Van de Wyk's personal interests	• Any interest in Ubuntu, carried interest, or incentive linked to Axion — which decides whether s75 is engaged as well as s76(2)(a) .
Committee terms of reference and membership	• Only the chairs are named in Document 4. Composition is needed to test Reg 43(4) and to assess independence of each committee.

Document or fact	Why it is needed
Board independence assessment and skills matrix	To test the claim of “a balance of executive, non-executive and independent directors”.
Directors’ tenure	Long tenure is an independence indicator, particularly for September and Mthanda.
Conflicts register and s75 disclosures	To evidence that conflicts are declared and managed.
Delegation of authority framework	To test the board’s stated retention of oversight over material capital investments.
Whether an internal audit function exists	Part of the assurance and MATURE analysis.
Third-party liability at year end	To compute the public interest score precisely rather than on total liabilities.
Directors’ fee approval	Whether a s66(9) special resolution has been passed in the previous two years.

M. Sources and verification status

Source	Used for	Status
Pre-release, Document 4 pages 11–12	Shareholding, board table, committees, governance statement.	Primary source. Quoted directly.
Companies Act 71 of 2008	s15(7), s29(2), s38, s39, s41, s66, s72, s75, s76, s94.	Read the sections before quoting subsection numbers. The section numbers are as commonly cited; the subsection detail should be confirmed against the Act.
Companies Regulations 2011	Reg 26(2) public interest score; Reg 28 audit; Reg 43 social and ethics committee.	Verified — thresholds of 350 for audit and above 500 in two of five years for the social and ethics committee, and the Reg 43(4) composition rule.
King V Code, 2025	Composition and independence, chair, committees, delegation, conflicts, remuneration, assurance, ethics, stakeholders, technology.	Cited by subject matter only. 13 principles, apply and explain, effective for years beginning on or after 1 January 2026 — verified. Principle and practice numbers were NOT verified and are deliberately not quoted. Confirm them against the Code before citing.
King IV	The recommended practice that the board chair should not chair the remuneration committee.	Used because the IAC 2026 course materials are written on King IV. Confirm the equivalent King V practice.
SAICA Code of Professional Conduct	Fundamental principles; s120 conceptual framework; s120.6 A3 threats; s260 NOCLAR; s270 pressure; Part 4A independence; s540 long association.	Fundamental principles and the five threats are quoted as the IAC 2026 GAA Notes state them. Part 4A and s540 detail should be read before citing paragraph numbers.
IAC 2026 GAA Notes and Tutorials	The answer structure in section K; the public interest entity link; the rule that King applies to directors and the Code to members.	Verified against the supplied materials.
Other pre-release documents	Document 2 (KZL Inc, 300 employees), Document 3 (funding options, constraints, MATURE), Documents 5 and 7 (financials, AI pilot).	Used only to support the Document 4 analysis, and identified where used.

Prepared for APC 2026 September Qualifying Exam preparation. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for assessment purposes.